

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-21

PKDC, LLC,
Complainant,

v.

CMA CGM S.A.,
Respondent.

COMPLAINANT'S OPENING BRIEF AND PROPOSED FINDINGS OF FACT

PUBLIC VERSION

TABLE OF CONTENTS

INTRODUCTION	1
PROPOSED FINDINGS OF FACT	4
I. PKDC Enters a Service Contract With CMA For an MQC of 4,000 TEUs That, Unbeknownst to PKDC, CMA had no Intention of Honoring	4
II. CMA Ranks its Customers as “High-Paying” or “Low-Paying,” Uses These Rankings When Allocating Limited Vessel Space During the COVID-19 Pandemic, and Refuses to Allocate Space for PKDC—a non-“VIP,” “Low-Paying” Customer—in Accordance With its Service Contract	6
III. CMA Squeezes Fees Out of PKDC to Ship Less Cargo at Higher Rates than Provided for in the Service Contract	15
IV. CMA Charges PKDC Detention on Containers that CMA Knew Could Not be Returned	18
V. CMA’s Revenue and Earnings Skyrocket During the Service Contract Year, and Even Increase While Moving Less Cargo	21
VI. PKDC Suffers at Least \$18 Million in Damages Proximately Caused by CMA’s Unreasonable Conduct	22
SUMMARY OF ARGUMENT	24
STANDARD OF REVIEW AND RELEVANT LAW	26
I. Count I: Violation of 46 U.S.C. § 41102(c) (“Unjust and Unreasonable Failure to Meet Service Commitments under the Service Contracts”)	26
II. Count II: Violations of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 Relating to Unjust and Unreasonable Detention Charges	27
III. Count III: Violation of 46 U.S.C. § 41104(a)(2) (“Filed Rate Doctrine”)	28
IV. Count IV: Violation of 46 U.S.C. § 41104(a)(10) (“Unreasonable Refusals to Deal or Negotiate”)	29
ARGUMENT	31
I. CMA Violated Section 41102(c) (Unreasonable Practices) by Systematically Preferring Higher-Paying Cargo by Ignoring its Service Contract Obligations and Using its LISA CAM System and VIP Rankings to Give Space to the Highest Bidders	31
II. CMA Violated Section 41102(c) and 46 C.F.R. § 545.5 by Charging PKDC Detention on Containers That Could Not be Returned	36

III. CMA Violated Section 41104(a)(10) (Refusal to Deal) by Unreasonably Preferring Higher-Paying Cargo and Coercing Excessive Fees from PKDC, Instead of Pro-Rating Limited Space.....	38
IV. CMA Violated Section 41104(a)(2) (Filed Rate Doctrine) Because it Coerced PSS and SPGO Fees Out of PKDC to Carry Less Cargo at Higher Rates—Even Offering to Kick Lower-Paying Shippers Off a Vessel if PKDC Paid More.....	40
V. The Presiding Officer Should Award PKDC Reparations	42
CONCLUSION.....	46

TABLE OF AUTHORITIES

Cases

<i>20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd.</i> , Docket No. 23-02, Initial Decision (ALJ Apr. 24, 2026)	<i>passim</i>
<i>Bakerly, LLC v. Seafrigo USA, Inc.</i> , 2024 WL 95381 (ALJ Jan. 3, 2024)	29
<i>Banana Distributors, Inc. v. Grace Line</i> , 5 F.M.B. 615 (1959)	39
<i>California Shipping Line, Inc. v. Yangming Marine Transport Corp.</i> , Docket No. 88-15, 1990 WL 427466 (FMC Oct. 19, 1990)	40
<i>Crocus Investments, LLC v. Marine Transport Logistics, Inc.</i> , Docket No. 15-04, 2021 WL 3732849 (FMC Aug. 18, 2021)	26
<i>Grace Line Inc. v. Federal Maritime Board</i> , 280 F.2d 790 (2d Cir. 1960)	40
<i>Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(c)</i> , Docket No. 21-09, 2022 WL 1239377 (ALJ Apr. 22, 2022)	37
<i>Landgraf v. USI Film Prods.</i> , 511 U.S. 244 (1994)	45
<i>Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.</i> , Docket No. 08-03, 2014 WL 9966245 (FMC Dec. 17, 2014)	26
<i>MAVL Capital Inc. v. Marine Transport Logistics, Inc.</i> , Docket No. 16-16, 2022 WL 2209421 (FMC June 10, 2022)	42
<i>MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA</i> , Docket No. 21-05, 2024 WL 3514613 (FMC July 16, 2024)	34
<i>OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG</i> , 2023 WL 3969857 (ALJ June 7, 2023)	30
<i>OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG</i> , 2024 WL 4034610 (FMC Aug. 27, 2024)	30

<i>Patrick Lumber Co. v. Calmar S.S. Corp.</i> , 2 U.S.M.C. 494 (United States Maritime Commission Feb. 4, 1941)	35
<i>Ports Am. Chesapeake, LLC v. APS E. Coast</i> , Docket No. 23-04, 2023 WL 5375588 (ALJ Aug. 16, 2023)	27
<i>Santa Fe Discount Cruise Parking, Inc. v. Bd. of Trs. of the Galveston Wharves</i> , Docket No. 14-06, 2021 WL 1575018 (FMC Apr. 16, 2021)	29
<i>TCW, Inc., v. Evergreen Shipping Agency (America) Corporation & Evergreen Line Joint Service Agreement</i> , 2021 WL 794708 (FMC 2021)	27
<i>TCW, Inc., v. Evergreen Shipping Agency (America) Corporation & Evergreen Line Joint Service Agreement</i> , 2022 WL 18068977 (FMC 2022)	28, 37
<i>Waterman Steamship Corp. v. General Foundries, Inc.</i> , Docket No. 93-15, 1993 WL 13975538 (ALJ Dec. 9, 1993)	26

Statutes

46 U.S.C. § 40102(18)	4
46 U.S.C. § 40102(23)	4
46 U.S.C. § 40102(7)	4
46 U.S.C. § 41102(c)	26, 27, 36, 45
46 U.S.C. § 41104(a)(10)	29, 30
46 U.S.C. § 41104(a)(2)	28, 29
46 U.S.C. § 41107	27
46 U.S.C. § 41305	27
46 U.S.C. § 41305(b)	42
46 U.S.C. § 41305(c)	45
5 U.S.C. § 556(d)	26

Regulations

46 C.F.R. § 545.5(a)	27
46 C.F.R. § 502.203	26

46 C.F.R. § 542.1	30
46 C.F.R. § 542.1(b).....	31, 39
46 C.F.R. § 542.1(e)(2)	31
46 C.F.R. § 542.1(h)(1).....	31
46 C.F.R. § 545.4	26, 27
46 C.F.R. § 545.5	27, 36, 37, 38
46 C.F.R. § 545.5(c).....	25
46 C.F.R. § 545.5(c)(1)	28, 36
46 C.F.R. § 545.5(c)(2)(ii)	28, 36
46 C.F.R. § 545.5(d)	28, 37

Other Authorities

<i>Demurrage and Detention Rule</i> , 85 Fed. Reg. 29,638 (FMC May 18, 2020)	26, 36
Fact Finding Inv. No. 29, Interim Recommendations, 2021 WL 3367606 (Jan. 1, 2021).....	45
Fact Finding Investigation No. 23, 1998 WL 940278 (FMC Sept. 21, 1998).....	40

INTRODUCTION

Respondent CMA CGM S.A. did not let a good crisis go to waste. When the COVID-19 pandemic hit, causing unprecedented port congestion and launching the spot market for vessel space to sky-high rates, CMA seized the opportunity. Its earnings skyrocketed, quadrupling in 2021 and increasing another 40 percent in 2022, all while carrying less cargo.

The recipe for CMA's success was simple. It did not prorate limited vessel space among its customers. Instead, it followed the same playbook that other carriers followed to maximize profit. *See 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Ltd.*, Docket No. 23-02, Initial Decision (ALJ Apr. 24, 2026) ("*Bed Bath & Beyond*"). As did Orient Overseas Container Line in *Bed Bath & Beyond*, CMA ignored its service contract commitments; preferred higher-paying or more strategically valuable customers over lower-paying customers when allocating vessel space and equipment; squeezed additional fees to provide service contract holders like PKDC less space than they were entitled to at higher rates than agreed to; and refused to waive detention charged on unreturnable containers.

First, CMA signed service contracts with shippers like complainant PKDC to allocate all of its anticipated vessel space for the year—but CMA knew it had less space and equipment than it contracted for, and had no intention of honoring PKDC's service contract. Internal CMA emails reveal that, when negotiating service contracts with PKDC, CMA agreed to PKDC's minimum-quantity commitment (MQC) only because CMA believed the service contract was effectively unenforceable.

Second, CMA ranked its customers and allocated its limited space and equipment in accordance with those rankings. Some customers CMA deemed "high-paying" or "VVIP." Internal spreadsheets show that many of these customers received their contractually promised

allocations—and then some. Indeed, “good paying accounts” are “prioritize[d]” “when space is tight.” CMA114490 [APP0375]. But others, like PKDC, were neither VIP nor high-paying but rather “low-paying.” Those customers, according to the same internal spreadsheets, fared much worse. And importantly, when it came time for CMA to allocate space on its vessels, these customer rankings were visible to CMA and were in fact a required data element when allocating space using CMA’s internal system. The evidence developed during discovery shows that because PKDC was neither a VIP nor “high-paying” customer, CMA denied PKDC the space and equipment promised and suffered space cancellations despite CMA’s commitment to provide minimum weekly space and equipment allocations. As a proximate result, PKDC had to make expensive alternative arrangements through non-vessel operating common carriers (NVOCCs or NVOs)—sometimes securing space at much higher rates on the very same vessels that CMA had denied space to PKDC.

Third, CMA squeezed its customers like PKDC for additional fees. CMA’s stated policy, of course, was not to allocate vessel space based on who paid the most fees. But the facts show otherwise. CMA pushed additional peak-season surcharges (PSS) on PKDC very early in the contract year, even though PKDC was already not receiving its contractually promised weekly space allocations. As CMA explained, PSS was an offer PKDC could not refuse: “Without PSS acceptance, it will be difficult for us to continue to consistently move volume for PKDC.” CMA140844 [APP0689]. Indeed, internal emails reveal that PSS “will for sure be taken into account when doing cuts.” CMA145170 [APP0514]. Also, CMA pushed on PKDC and others a separate service named SeaPriority Go or “SPGO,” designed to avoid shipments from being “rolled” off a vessel despite PKDC having been promised contractual space pursuant to CMA’s

service contract. SPGO became all but necessary for PKDC to get space on a vessel and make up for CMA's MQC shortfalls.

And these are just the *official* fees that CMA squeezed out of customers. *Unofficially*, CMA squeezed more. It even offered to kick a different shipper's cargo off a vessel and give that space to PKDC if it would pay \$14,000 per container rather than its contractual rate at half that inflated rate.

Fourth, even when PKDC did get space on a CMA vessel, the squeeze did not end there. CMA charged PKDC detention even though CMA's employees were aware of terminal-wide issues that prevented the timely return of containers. PKDC sent CMA evidence demonstrating the lack of available appointments at that terminal. But none of that mattered, as CMA refused to waive nearly one million dollars of detention charges.

In early 2022, with just one month left on the contract between CMA and PKDC, CMA conceded that it had "been a challenging year for CMA from a performance perspective, currently only performing at 34% of the MQC signed." CMA077062 [APP0354]. And by the end of the service contract year, CMA admitted that it had "overcommit[ed]" and "under deliver[ed]." CMA137966 [APP0352]. While CMA's profits were not negatively impacted by its mistreatment of service contract holders, this mistreatment directly caused PKDC serious damages: it was forced to pay exorbitant fees to CMA, pay much higher rates through NVOCCs when CMA denied space, make more expensive alternative arrangements to get its cargo from origin to destination, and pay detention on containers that could not be returned. As to each of those categories of reparations, PKDC has voluminous supporting documentation and a declaration that catalogs it.

In short, by unreasonably refusing to honor its service commitments, failing to provide service in accordance with PKDC's service contract, imposing excessive surcharges, and charging

detention on containers that could not be returned, CMA violated the Shipping Act and the Commission's implementing regulations, proximately causing PKDC's injuries to the tune of over \$18 million.

The Presiding Officer should find that service contracts are not meaningless, despite what CMA thinks; award PKDC reparations in the amount of \$18,164,603.57; award PKDC double reparations for violations of 46 U.S.C. § 41102(c); and grant PKDC such further relief as is deemed appropriate.

PROPOSED FINDINGS OF FACT

I. PKDC Enters a Service Contract With CMA For an MQC of 4,000 TEUs That, Unbeknownst to PKDC, CMA had no Intention of Honoring

1. PKDC is a shipper, as defined by 46 U.S.C. § 40102(23). PKDC is part of the Furniture Row group of companies.¹ Furniture Row is "a stable and profitable [furniture] retailer with over 331 stores in 31 states. They are the largest cash buyer of furniture, and the largest direct mattress retailer in the US." CMA077062 [APP0354].

2. CMA is a common carrier as defined by 46 U.S.C. § 40102(7)(A)-(B), and an ocean common carrier as defined by 46 U.S.C. § 40102(18). CMA's Verified Answer ¶ 4.

3. In 2020, PKDC negotiated a service contract with CMA, originally for an MQC of 2,000 twenty-foot equivalent units (TEUs). PKDC, however, anticipated shipping much more. It accordingly requested an MQC of 4,000 TEUs instead. At first, CMA balked: "This is not possible, we need to maintain 2800 [TEUs]." CMA001778 [APP0357]. But CMA considered the request

¹ PKDC acts as the buying agent and importer of record for the Furniture Row group of companies; as such, references to furniture retailing more accurately pertain to Furniture Row.

anyway, wondering whether PKDC could “go after the liquidated damage[s] if [CMA is] not able to meet the 4000T before the end of the contract period.” CMA001777 [APP0356].

4. The response was clear. PKDC had “the standard [boilerplate,] so [liquidated damages] should not be an issue.” CMA001776 [APP0355]. The “standard boilerplate” in CMA’s service contract provides that, if CMA fails to honor the MQC, the shipper’s sole remedy is a contractual amendment reducing the MQC to the TEUs actually shipped (a “drawdown” amendment). CMA061497 [APP0361]. In other words, the MQC agreed to by the parties was meaningless, in CMA’s view, because PKDC could get nothing more than a contractual reduction in its MQC—liquidated damages would “not be an issue.” “There is nothing in the [boilerplate] that allows the customer to come after CMA if we do not meet the 4000” TEU MQC. CMA061497 [APP0361].

5. PKDC, unaware of these internal discussions, in good faith, signed another service contract with CMA for contract year 2021-2022 (March 19, 2021, through April 30, 2022), for an MQC of 4,000 TEUs. Service Contract No. 21-2947 [APP0094-APP0119]. CMA committed to carry PKDC’s cargo between a variety of port pairs, typically ports in Southeast Asia and China paired with locations in Colorado. *Id.*

6. PKDC’s weekly allocation of vessel space was approximately 80 TEUs per week (4,000 TEUs divided by 52 weeks), spread across these port pairs. *See* Eouzan Dep. at 117:14-25 (“You have an MQC. We divide the MQC by 52. It gives us the weekly allocation.”) [APP1081].

7. At the beginning of the service contract, the “weekly FEU allocations by port” consisted of 12 FEUs out of Vietnam; 4 FEUs each out of Shanghai, India, Ningbo, and Xingang; 3 FEUs each out of Yantian and Port Tanjung Pelepas; and 2 FEUs each out of Dalian and Port Kelang. CMA057774 [APP0369].

8. PKDC only uses FEUs, not TEUs, to ship its cargo. CMA000835 (“20’ cntrs are basically useless for furniture shippers. Especially at this rate level. PKDC doesn’t even have 20’ rates filed because they cannot use them.”) [APP0704].

9. The 4,000 TEUs represented a large portion of the cargo volume that PKDC anticipated shipping to the United States for contract year 2021-2022: 5,750 FEUs, or 11,500 TEUs. Grafton Dep. at 18:19-23, 22:4-5 [APP0839, APP0843].

10. PKDC contracted with other carriers to ship the remainder of its anticipated cargo volume. Grafton Dep. at 25:8-14, 31:8-16 [APP0846, APP0852].

11. PKDC’s prediction of its annual shipping volume ended up being spot-on. Over the course of the 2021 to 2022 contract year, PKDC ended up shipping about 5,900 FEUs, or 11,800 TEUs. Grafton Dep. at 32:9-16 [APP0853].

II. CMA Ranks its Customers as “High-Paying” or “Low-Paying,” Uses These Rankings When Allocating Limited Vessel Space During the COVID-19 Pandemic, and Refuses to Allocate Space for PKDC—a non-“VIP,” “Low-Paying” Customer—in Accordance With its Service Contract

12. Space on vessels was tight throughout the COVID-19 pandemic. There were “capacity constraints resulting from vessel delays caused by port congestion during the” pandemic, “especially delays in vessels entering the Ports of Los Angeles/Long Beach.” CMA’s Reply to PKDC’s Second Interrogatories at 3 [APP0812]. “Due to these vessel delays and increased demand during this period,” *i.e.*, from 2020 through 2022, “equipment was in short supply in different ports” and “locations at different time periods.” *Id.* Thus, these issues of high demand and low supply were not suddenly new to the 2021 to 2022 service contract year. They started at the beginning of the pandemic.

13. CMA’s official policy was that freight rates were “not supposed to be taken into consideration” in determining which cargo got on a ship. Eouzan Dep. at 99:10-100:18

[APP1077]. The “default policy,” ostensibly, “was to reduce the allocation of all customers on a pro-rata basis.” CMA’s Reply to PKDC’s First Interrogatories at 7 [APP0800].

14. But that was no policy at all: according to CMA, pro-rating vessel space among customers was “subject to ad hoc adjustments based on the contractual commitments of customers and” their “*performance*.” *Id.* (emphasis added). And internally, CMA identified opportunities to maximize its revenue from the very start. In February 2020, CMA explained that “moving ahead we will append, monthly with the CSA, a country specific ranking for your fixed accounts. This will allow you to identify the good paying accounts and to prioritize this within your free hand when space is tight.” CMA114490 [APP0375].

15. At the end of 2020, when the pandemic was still somewhat fresh, a CMA account manager internally relayed customer complaints about CMA’s conduct. “I know this isn’t really related to COVID, but all customers said the same thing – they hope CMA [can] get back to covering their allocations on [a] weekly basis without outrageous PSS charges, and equipment shortages. They want to see CMA assist more on chassis issues, so they are not bearing the cost of [detention and demurrage]. They also want to see CMA better prioritize containers in LA moving on the rail.” CMA075002 [APP0378].

16. But CMA changed none of its policies in response to the pandemic, even though it knew about these customer complaints about shortages of space and equipment. CMA’s “practice for allocating space on the routes covered by the [service contract] was and remains to allocate 100% of its available vessel capacity to service contract cargo.” CMA Supplemental Reply to PKDC’s First Interrogatories at 1 [APP0803]. “Hence, virtually all cargo moved by CMA ... in the [service contract] trades moved under service contracts, and the amount of cargo moved at spot rates (if any) is negligible.” *Id.* at 2 [APP0804]. Yet CMA did not change how it determined how

many TEUs it could carry over a year, even though it knew of equipment shortages, port congestion, and lack of vessel space. Eouzan Dep. at 49:11-22 (agreeing that CMA did not “change the math problem for ... determining the number of TEUs” that it thought it would “be able to move” in 2021: “number of ships times TEUs times weeks”) [APP1064].

17. Nor did CMA make any changes to its customer ranking systems, space allocation method, or equipment priority policies in response to the pandemic. CMA’s Reply to PKDC’s Second Interrogatories at 3 [APP0812]. In short, going into the 2021 contract year, CMA knew that there was a perfect storm of increased demand and lower supply, but changed nothing to ameliorate the impact of that storm on customers with service contracts; rather, it utilized the situation to line its own pockets.

18. CMA had, and still has, ample means to preference higher-paying cargo. CMA uses an internal electronic system called “LISA CAM,” or “customer allocation management,” for allocating vessel space among customers with service contracts. The CAM system requires the user to input several data elements concerning the customer, one of which is the “Customer Rank.” CMA035250 [APP0385]. The CAM customer ranking system requires the user to assign a number from 0 to 8 for each customer. CMA035262 [APP0397].

19. A ranking of 0 means that the customer is “Elite”; a ranking of 1 means the customer is “BCO High Paying”; and a ranking of 2 means the customer is “BCO Low Paying.” *Id.*

20. Moreover, “[o]perational planning views may display applicable surcharges for a given period,” meaning that CMA can see how much money a particular allocation will bring in. CMA’s Reply to PKDC’s Second Interrogatories at 6 [APP0815].

21. During the service contract year, however, “PKDC was categorized as a standard BCO account”—not “Elite” or “High-Paying”—“based on the volume of cargo committed.”

CMA's Reply to PKDC's Second Interrogatories at 4 [APP0813]. That meant PKDC had a worse chance of getting space on a ship. Eouzan Dep. at 122:13-123:25 (agreeing that "the rankings from best to worst go from zero to eight," and that rank seven "was one of the lowest ranking[s]" in "term[s] of ... getting ... space") [APP1083].

22. That was not the only customer ranking system that CMA used. It had a separate "VIP" system called the "VIP Pool," which CMA used as "an equipment prioritization system" to "allocate equipment." CMA's Supplemental Reply to PKDC's Second Interrogatories at 1 [APP0817]. The person in charge of the CMA personnel who made "VIP tier designations," Mr. Pierre Eduard Eouzan, CMA's Reply to PKDC's Second Interrogatories at 1 [APP0810], clarified at his deposition that the VIP Pool was used to rank customers across "all trade lanes." Eouzan Dep. at 108:14-110:3 [APP1079-APP1080]. "VVIP" customers were the "first" to get equipment, followed by "VIP4," then "VIP3," and so on. *Id.* at 109:10-17 [APP1079]. The lower the customer's ranking, the less chance the customer has of getting equipment. *Id.* at 110:8-13 [APP1080].

23. The VIPs were the big players—large companies of strategic importance to CMA. *See, e.g., id.* at 145:18-146:11 [APP1088-APP1089].

24. Among other considerations, customers were assigned a VIP ranking (or not assigned a VIP ranking) based on "volume, strategic importance" to CMA, and "revenue." CMA's Supplemental Reply to PKDC's Second Interrogatories at 1 [APP0817]. Customers could be downgraded in their ranking if they "complain[ed] strenuously or threaten[d] to pull business." *Id.* at 2 [APP0818]. The necessary implication of that bald admission of retaliation: if customers paid more and kept quiet, they would get rewarded with space on vessels.

25. Although the VIP system focuses on equipment, rather than space allocation, equipment is necessary to obtain vessel space. “As part of a service contract and part of the MQC,” it was “CMA’s responsibility to allocate equipment for that space.” Eouzan Dep. at 65:11-15 [APP1068]. The only “equipment allocation” that “is necessary under the contract” is containers. *Id.* at 65:16-21 [APP1068]. In other words, without CMA providing containers, vessel space could not be provided for a customer. It was “equipment” that “was in short supply” during the pandemic. CMA’s Reply to PKDC’s Second Interrogatories at 3 [APP0812].

26. Thus, although “most other carriers release bookings with the view that equipment is automatically available for that booking,” CMA did not, and controlled bookings using equipment availability. CMA032882 [APP0402]. That is, “the priority of list [*sic*] did work during the equipment shortage,” *id.*, and the VIP system for allocating equipment “works like first come first served.” CMA032883 [APP0403]. Accordingly, VIP designations directly played into vessel space allocation. *See, e.g.*, CMA003170 [APP0420].

27. In fact, from the very beginning of the service contract year, the policy was to “[a]lways prioritize” VIP customers. CMA068856 [APP0480].

a. Take, for example, an internal CMA exchange toward the beginning of PKDC’s service contract. There were longstanding issues with CMA giving service contract customers space allocations out of Vietnam. According to a CMA home office line manager, there needed to be “an immediate improvement of Vietnam release versus CAM,” given that it had been an issue for at least “6 months now.” CMA055718 [APP0497]. Vietnam was “the NUMBER ONE origin in all the complaints from the US teams when [looking] at booking release vs CAM[.]” *Id.* Specifically, when “you have small [allocations], it is a bloodbath, & meanwhile you are still

releasing above CAM for some transactional cargo – be it ‘VIP IFF’, or even small, transactional players.” *Id.*

b. That is, CMA was giving space *above* allocation to VIPs, while “low-paying” BCOs like PKDC were facing a “bloodbath.” *Id.* Indeed, as PKDC’s assigned account manager told PKDC around the same time, “we are not in a position this year to be able to accept overages.” CMA131612 [APP0510]. But VIPs could get “volume exceeding average support” if they paid extra fees. CMA145172 [APP0516].

c. Or consider another example from the latter half of the service contract year. PKDC requested that CMA carry one FEU, and the request was sent internally at CMA for approval. CMA067932-33 [APP0524-APP0525]. But the response did not ask whether PKDC had been provided with its weekly MQC, or whether CMA was behind on its performance under the service contract. Instead, a CMA employee asked if they are “VVIP+NYSHEX level or VIP4 SPGET/SPRH/SPGO/RIALTO? As per my understanding TP [*i.e.*, trans-pacific] only accept above exception into VIP pool, please escalate to high management to approve.” CMA067932 [APP0524]. That understanding was confirmed to be correct. “According [to] company policy, only VIP4 who paid SPGO could be added into VIP POOL.” CMA067928 [APP0520].

d. If non-VIPs wanted to get space on vessels with VIPs, they needed an exception approved at the highest levels of the CMA hierarchy, *see* CMA067927-28 [APP0519-APP0520], but “Elite bookings” and those VIPs paying extra fees got space by default, *see* CMA067931 [APP0523].

28. Even though PKDC’s service contract with CMA was supposed to guarantee space and equipment, PKDC’s status as a low-paying, non-VIP customer meant that CMA would refuse it space on vessels or equipment in favor of more lucrative cargo. As just one example, PKDC

tried to book space on a CMA vessel within the service contract period, *see* CMA003170-3229 [APP003170-APP0479], but CMA “ke[pt] cancelling, asking [PKDC] to rebook, cancelling again, asking them to rebook.” CMA003172 [APP0422]. It was “getting kind of crazy,” according to PKDC’s assigned account manager from CMA. *Id.* In the end, although the account manager tried her best to get PKDC’s cargo loaded on a particular vessel, it was no use. “As per quota given today,” the vessel “could only cover VIP3” customers—not non-VIP customers like PKDC. CMA003170 [APP003170].

29. That experience was common for PKDC throughout the service contract year. Booking requests submitted by PKDC to CMA within PKDC’s weekly contractual allocations were repeatedly rejected, or accepted then cancelled, due to lack of space or equipment. *See, e.g.*, CMA137742 (“I have not received any replies from you on this, however, I did hear from PKDC again this morning advising that we still rejected their bookings ex Vietnam.... [T]his should not be the same message I receive day after day from the customer advising that they can’t get any bookings from CMA.”) [APP0526]; CMA004590 [APP0528]; CMA003230 [APP0556]; CMA003990 [APP0617]; CMA017529 [APP0626].

30. In August 2021, PKDC expressed to CMA that it was “increasingly frustrating to not be able to get our allocations and the space we need.” The “biggest pain points” at the time were “Vietnam, Shanghai, Xingang, Malaysia, Indonesia and Ningbo.” CMA133808 [APP0659]. “CMA would try to catch up if there was a shortfall one week,” Martini Dep. at 90:20-22 [APP1017], but there was nothing PKDC could do if CMA failed to carry a weekly MQC. PKDC “couldn’t book outside of [its] allocations or they would get automatically denied.” Grafton Dep. at 29:22-30:4 [APP0850-APP0851]. Not being able to “make up these allocations ... left a lot of this freight sitting there.” *Id.* at 48:15-18 [APP0869].

31. And CMA's booking portal did not make things easy. "[H]ow the vessel[s] opened and how that was communicated was a challenge with CMA. That wasn't something that was a consistent rule across their organization. And when you got into their portal to choose a booking, it didn't say when those bookings would be ready either." *Id.* at 77:2-9 [APP0898].

32. CMA did not maintain records of the many booking rejections that PKDC received. CMA's Supplemental Reply to PKDC's First Interrogatories at 4 [APP0806]. Thus, CMA had little ability to monitor its compliance with its service contracts. Indeed, CMA's testimony showed that although CMA would analyze a *customer's* performance under a service contract, it did not analyze *CMA's* performance under that contract. Martini Dep. at 55:16-56:23 [APP1008].

33. The booking cancellations that CMA did keep records of reveal that CMA's booking procedure was faulty. "1,426 cancelled TEUs" alone "are recorded as 'Out of Booking Window,'" meaning that bookings ostensibly were "requested before the applicable booking window opened." Ewan Decl. ¶ 7 [APP0821]. But according to CMA's testimony, the booking system would not have been open at all if it had truly been too early to book. Eouzan Dep. at 82:18-22 [APP1073]. Moreover, over 800 additional TEUs were cancelled because space was requested "in excess of customer allocations." Ewan Decl. ¶ 8 [APP0821]. But CMA's testimony was that "canceling accepted bookings [was] driven by equipment availability mainly, if not only," Eouzan Dep. at 107:12-23 [APP1079]—not booking too early or booking too much.

34. In any event, cancellations for purportedly requesting space over allocation cannot be reconciled with CMA's position that it "would try to catch up if there was a shortfall one week." Martini Dep. at 90:20-22 [APP1017].

35. Internal CMA spreadsheets reveal the outcome of its ranking systems on its customers during the 2021 to 2022 service contract year: VIPs and high-paying NVOs got their MQC, and then some.

a. Big retailers like [REDACTED] with service contracts covering the same period as PKDC, had received a majority of their MQC by March 31, 2022—and in some cases, like [REDACTED] and [REDACTED] *exceeded* their MQC. CMA146967 [Native]. Both [REDACTED] and [REDACTED] were ranked as VIP4. CMA146990 at tab Feuil3, rows 4777, 5690 [Native]. [REDACTED] was ranked as VIP3. *Id.* row 5350 [Native]. But PKDC, meanwhile, was not listed as any sort of VIP. *Id.* row 5515 [Native].

b. And that is just the VIPs. These same spreadsheets also reveal that CMA preferred NVOCC cargo at much higher floating rates during the 2021 to 2022 contract year. [REDACTED] for instance, signed a floating-rate contract with CMA, contract number 21-6227, to ship 1,000 TEUs. *Id.* row 1114 [Native]. With one month left on that contract, CMA had already carried *three times* that MQC for [REDACTED] or 3,309 TEUs. CMA146967 [Native]. [REDACTED] had even more success with space allocation. It signed contract number 21-6638 with CMA for an MQC of 200 TEUs at a floating rate. CMA146990 at tab Feuil3, row 1122 [Native]. But CMA carried *2,639 percent* of that, or 4,877 TEUs, with one more month left on the contract. CMA146967 [Native]. Or consider [REDACTED] another NVOCC with a floating-rate contract with CMA, but this time for only 500 TEUs, under contract number 21-4286. CMA146990 at tab Feuil3, row 975 [Native]. With one month left on [REDACTED] contract, CMA had already carried *3,057 percent* of [REDACTED] MQC, or 14,025 TEUs. CMA146967 [Native].

c. These results are improbable—if not impossible—if CMA had been “reduc[ing] the allocation of all customers on a pro-rata basis” as a “default policy.” CMA’s Reply to PKDC’s First Interrogatories at 7 [APP0800].

36. That is not surprising—in some instances, after CMA rejected PKDC’s booking requests for space on a vessel, PKDC was able to get space on the very same vessel through an NVOCC, but only at much higher rates. PKDC’s Response to CMA’s First Interrogatories at 9 & Ex. D [APP1139, APP1148-APP1159]; Grafton Decl. ¶ 9 (noting that the average basic freight rate to ship cargo with an NVOCC on a CMA vessel during the contract year along the same port pairs as PKDC’s service contract was over \$17,000 per FEU) [APP1162].

37. After all, when CMA was reflecting in December 2023 on “past experience of equipment shortage,” it recalled that BCOs like PKDC had “less capability to compete with NVO[s]” to get equipment. CMA033027 [APP0668].

38. In sum, PKDC ended up receiving less than half of its MQC from CMA—even though VIPs and NVOCCs paying floating rates received their MQCs and then some. *See* CMA146967 [Native].

39. Internally, the explanation that CMA gave for only carrying 1,514 TEUs, or about 38 percent of the 4,000-TEU MQC, was the simplest, most logical one: “[d]uring [the] pandemic,” “PKDC was not a VIP customer[.]” CMA139634, at tab Split lifting [Native]; Service Contract 21-2947 Amendment 9 (drawdown amendment reducing MQC to 1,514 TEUs) [APP0343].

III. CMA Squeezes Fees Out of PKDC to Ship Less Cargo at Higher Rates than Provided for in the Service Contract

40. When CMA *did* accept PKDC’s cargo, it was hardly ever at the rates set forth in the service contract. Instead, and as more fully discussed below, CMA coerced fees out of PKDC to carry less cargo than was required under the service contract, at higher rates.

41. First, there was PSS. In July 2021, CMA reached out to PKDC regarding PSS—but it was not a negotiation. Instead, CMA stated that it was “moving forward with PSS2/PSS3 for August 1 effective date. Each PSS is \$600 respectively, which totals \$1200.” CMA140844 [APP0689]. CMA’s reasoning was that “[t]he volume demands continue to be at an all-time high and they are forecasted to only grow stronger as we begin to prepare for the holiday surge.” *Id.* PKDC did not have a choice, either. As CMA put it: “Without PSS acceptance, it will be difficult for us to continue to consistently move volume for PKDC.” *Id.* In other words, if PKDC did not accept PSS on top of the contractual rate it had already negotiated with CMA, CMA would refuse to carry PKDC’s cargo.

42. PKDC pushed back at first—an internal CMA summary from August 2021 relates that PKDC had “recently voiced concerns over lift/MQC performance” and that there was “initial pushback from [PKDC] that PSS should cover incremental costs,” CMA077610 [APP1165]—but PKDC ultimately agreed to coerced PSS fees moving forward, from August 1, 2021, through the end of the 2021-2022 contract year.

43. Contrary to CMA’s stated policies, payment of PSS was “for sure taken into account when doing cuts,” *i.e.*, when deciding which cargo would be allocated space on a vessel. CMA145170 [APP0514].

44. Second, there was SeaPriority Go, or “SPGO.” The product was “supposed” to be sold as insurance against “roll,” or having cargo bumped off of a vessel despite an accepted booking. Eouzan Dep. at 99:17-22 [APP1077]; CMA145170-72 [APP0514-APP0516]. It was “a way to sell a premium on selective bookings, or volume exceeding average support” for VIP customers; for others, it could be “sold on top of PSS to provide 100% loading guarantee on all” or “specific bookings.” CMA145170-72. Or, put simply, it was billed as “an additional value-

added service that customers could purchase to guarantee space on a” vessel—a way to jack up contract rates and increase profits. CMA’s Supplemental Reply to PKDC’s Second Interrogatories at 2 [APP0818].

45. SPGO became all but necessary to get contractually mandated MQC. SPGO was the only option available to try to make up MQC shortfalls. Space that became available on vessels was offered to PKDC, but only with “SPGO ... on top of [PKDC’s] contract rates,” or \$1,800 per container. CMA140685 [APP1166]. The same shakedown happened repeatedly: “We can offer you 15 FEU, it is your contract rate + SPGO (\$1800),” CMA140612 [APP0690]; “We have some additional space We can give you 20 FEU on this sailing if you are interested. SeaPriority GO is required for this,” CMA140762 [APP0691]; “As discussed, we have an XL out of Yantian that we have some extra space on[.] All cargo must have SPGO,” CMA133427 [APP0694]. CMA thus coerced SPGO fees on top of PSS, simply to carry less cargo for PKDC than it was contractually required to carry.

46. Nor was PKDC the only shipper paying SPGO. An internal CMA spreadsheet reveals that many customers were paying SPGO during the 2021-2022 contract year, CMA143283 [Native], including “Elite” customers who already had a leg up in getting space on vessels. And that same spreadsheet detailed how customers who paid SPGO would not get their cargo rolled from a vessel, unlike customers who did not pay. *Id.*

47. Finally, there were unofficial fees. For example, when PKDC asked CMA if it could carry 38 containers from Malaysia, CMA responded that it would “look into this,” but it “might be tricky.” CMA141020 [APP0696]. CMA later explained that it could “accept these [containers], but we would need to remove somebody else in order to make this happen. The cost per container to do this would be \$14,000.” *Id.* That is, CMA offered to kick someone else’s cargo

off a vessel and give that space to PKDC if it paid \$14,000 per container—a rate far more than its service contract rate.

48. And on another occasion, PKDC had “delayed containers that” it needed “help with to get bookings.” CMA000845 [APP0714]. CMA discussed the request internally: “if there is [a] rate in mind that will allow us to move some of this backlog”—that is, MQC that CMA had already failed to meet—“I am sure PKDC will heavily consider it.” CMA000844 [APP0713]. CMA “push[ed] a +\$6000” upcharge on top of the contract rate, *id.*, and PKDC accepted that “addon,” CMA000841[APP0710]. Even then, it was still difficult for PKDC to get its cargo on a CMA vessel. “We have \$12k rates filed here and we’re not able to move something around to execute on this for PKDC?” CMA000835 [APP0704]. CMA’s Home Office in turn instructed its employees “to prioritize equipment for this high paying deal[.]” CMA000834 [APP0703].

IV. CMA Charges PKDC Detention on Containers that CMA Knew Could Not be Returned

49. For cargo that CMA did end up carrying for PKDC, the fees did not stop at PSS and SPGO. PKDC’s cargo would land at various ports on the U.S. West Coast and then be shipped to the UPPR Denver Intermodal Terminal by rail. Once unloaded, the containers would be collected by PKDC’s logistics providers, including TSL Companies. PKDC’s Response to CMA’s First Interrogatories at 10-11 [APP1140-APP1141].

50. But throughout 2022, there were terminal-wide issues at UPRR Denver that CMA was aware of. For instance, in early 2022, CMA knew that its customers were having difficulty returning containers within seven days due to “inconsistent vessel schedules, train bunching, delays with rail unloading, etc[.]” CMA138008 [APP1171]. Problems continued through the summer of 2022. By July 19, 2022, there had ‘been ongoing shortages on chassis for quite some time, thus the UP has had units stacked.... [And] the UP does not allow for cherry picking of units

so they have to wait until the rail has made the unit available for pick up.” CMA005440 [APP0718]. Given “the challenges with the UP,” CMA was “not charging IRED in Denver for the time being.” CMA005439 [APP0717].

51. But a lack of timely internal communication at CMA was causing issues for PKDC: “the customer asked for confirmation that all was good to pick up on JUNE 22 and we didn’t respond until July 6? That’s the issue.... This is a communication delay from CMA.” CMA005443 [APP0721]. CMA’s solution to these communications issues was simple: blame the customer. “I will do what I can to put the onus back on the customer, but I don’t think this is the appropriate way to handle this.” CMA005440 [APP0718].

52. Throughout the summer and fall of 2022, TSL routinely requested appointments at UPRR Denver to return CMA containers. But because CMA failed to reserve sufficient space at UPRR Denver, return appointments were often unavailable. TSL repeatedly raised this lack of appointments with CMA:

- “You have run out of reservations. What’s the plan?” CMA023006 [APP0736];
- “Is there a plan to increase reservations for today at the UP Denver?” CMA023007 [APP0737];
- “[T]he UPRR is not accepting empties at this time due to CMA not having any reserved space,” CMA139992 [APP0741];
- “CMA Team, you are out of reserved space at the UPRR,” CMA023003 [APP0733];
- “CMA has no more reserved space for now at the UPRR where they are instructing us to return empties,” CMA023003 [APP0733];
- “Seems CMA has run out of reservations for the UPRR,” CMA136273 [APP0743];

- “We were in the process of rotating loads in and empties out when we ran into the usual brick wall, no reservations at the UPRR,” CMA136273 [APP0743];
- “[R]eservations dried up even for Saturday,” CMA129148 [APP0751];
- “We have run into No Reservations to return CMA empties to the UPRR,” CMA016339 [APP0759];
- “Still no reservations for today,” CMA016321 [APP0766];
- “[U]nable to ge[t] reservations on CMA empties,” CMA135686 [APP0776];
- “We are still not able to get reservations today for empty CMA equipment,” CMA135686 [APP0776].

53. TSL even took screenshots showing that no appointments were available and provided them to CMA. CMA023009-11 [APP0738-APP0740].

54. But, despite being notified repeatedly of the lack of available appointments at UPRR Denver, CMA nevertheless imposed substantial detention charges. *See* PKDC’s Response to CMA’s First Interrogatories at 11 [APP1141]; Grafton Decl. ¶¶ 15-16 [APP1164].

55. This is ostensibly because, even though reviewing detention charges is supposed to be a “flexible” process, the *only* instance where “particular supporting documentation” (really, just an “email exchange”) is required by CMA just so happens to be the instance at issue in this case: “lack of appointments.” Rouget Dep. at 35:19-37:22, 39:25-40:10 [APP0938, APP0939]. And that is the case even though lack of appointments is a terminal-wide issue “related to the entire facility,” and not customer-specific. Rouget Dep. at 38:5-39:8 [APP0939].

56. Yet again, CMA preferred its VIP and Elite customers when it came to detention and demurrage, just as it preferred those customers’ cargo. When “Elite/Premiere/Strat[egic] BCO/NVO” customers raise disputes with CMA, employees that have no responsibility for or

training in processing detention and demurrage disputes are assigned to handle those disputes. CMA081658 [APP0785]; Rouget Dep. at 96:5-97:11 [APP0953]. But other customers are assigned dispute analysts who are trained in detention and demurrage dispute processing. CMA081658 [APP0785]; Rouget Dep. at 32:7-23, 44:11-13 [APP0937, APP0940]. That is, requests from non-VIPs like PKDC to waive detention and demurrage charges were subjected to scrutiny from expert dispute analysts, while VIP customers were provided untrained customer-support teams to facilitate resolution of detention-and-demurrage-related disputes.

V. CMA's Revenue and Earnings Skyrocket During the Service Contract Year, and Even Increase While Moving Less Cargo

57. CMA's ocean shipping segment was extremely profitable during the COVID-19 pandemic. In 2020, CMA booked \$24 billion in revenue from its container shipping segment. CMA 2021 Consolidated Financial Statements at 19 [APP0035]. That revenue almost doubled to \$45.29 billion in 2021. *Id.* Earnings before interest, taxes, deductions, and amortization (EBITDA) quadrupled from \$5.3 billion in 2020 to \$22.07 billion in 2021 for that same business segment. *Id.* But CMA's transported volumes of cargo did not increase by the same amount. There was only a 14.8 percent increase in volume year-on-year in the first half of 2021, and in fact a 3.4 percent *decrease* in volume year-on-year in the second half of 2021. *Id.*

58. CMA's results in 2022 were even more impressive. Cargo volume decreased by 1.3 percent in 2022 as compared to 2021. CMA 2022 Annual Financial Results Press Release at 7 [APP0009]. But revenue from shipping nevertheless increased 30 percent from \$45.29 billion in 2021 to \$58.95 billion in 2022. *Id.* And EBITDA increased from \$22.07 billion in 2021 to \$31.64 billion in 2022, or 43.4 percent. *Id.*

59. There is only one explanation for such massive increases in revenue and EBITDA despite a decrease in cargo volume: limited space was not prorated among all customers with

service contracts, but rather given to high-paying cargo. *See* CMA114490 (explaining CMA’s strategy was to prioritize “good paying accounts” when “space is tight”) [APP0375]. This is not something that CMA hid, either. It bragged that its “strategy” in 2022 allowed it “to look forward to 2023 with confidence,” now that “freight rates” were “declin[ing].” CMA 2022 Annual Financial Results Press Release at 1 (“As trade returns to normal and freight rates decline, our strategy and recent investments will prove all the more relevant and allow us to look forward to 2023 with confidence.”) [APP0003].

VI. PKDC Suffers at Least \$18 Million in Damages Proximately Caused by CMA’s Unreasonable Conduct

60. By the end of the service contract, CMA had only carried 1,514 TEUs for PKDC, meaning that it failed to carry 2,486 TEUs. Service Contract 21-2947 Amendment 9 [APP0343].

61. PKDC, however, was ready, willing, and able to ship its 4,000-TEU MQC—it ended up exceeding its volume projections for the 2021 to 2022 contract year, after all. Grafton Dep. at 32:9-16.

62. Those 2,486 TEUs (or 1,243 FEUs) had to be shipped with NVOCCs instead of CMA. *See* Grafton Dep. at 35:3-15 (explaining that although PKDC “was hoping to avoid shipping cargo with NVOCCs during contract year ’21-’22,” PKDC ended up shipping “[a]pproximately 3,700 FEUs” with NVOCCs) [APP0853].

63. But those NVOCCs charged much higher rates than the rates PKDC had agreed to with CMA in the service contract. The average cost to ship an FEU with an NVOCC during the contract year along the same port pairs covered by the service contract was \$15,754.20—well over the average rate of \$5,243.82 per FEU under the service contract with CMA. Grafton Decl. ¶¶ 7, 10 [APP1161-APP1162]. In fact, the average cost to ship an FEU with an NVOCC on a *CMA*

vessel during the contract year along the same port pairs was even higher: \$17,614.17. *Id.* ¶ 9 [APP1162].

64. Moreover, the service contract between PKDC and CMA guaranteed carriage all the way from the port to the inland final destination (typically, Colorado), *see* Service Contract 21-2947 [APP0114-APP0118]; however, PKDC had to make alternative, expensive arrangements to move the 1,243 FEUs shipped using NVOCCs from the port to their destinations. In total, PKDC had to pay an additional \$13,064,402.34 just to cover the increased ocean freight rates charged by NVOCCs, and an additional \$3,121,416.15 in inland freight and cross-docking fees. Grafton Decl. ¶¶ 12, 14 [APP1163].

65. That amounts to \$16,185,818.49 in additional money paid over the contract rate for the 1,243 FEUs that CMA failed to carry in accordance with the service contract. Grafton Decl. ¶ 17 [APP1164].

66. Furthermore, for the 1,514 TEUs that CMA *did* carry, the invoices show that \$1,099,525.08 in coerced fees—including PSS and SPGO—were assessed on top of the contract rate. Grafton Decl. ¶ 5 [APP1161].

67. Adding up those coerced fees brings the total damages to \$17,285,343.57. Grafton Decl. ¶ 17 [APP1164].

68. Finally, the detention invoices show that CMA charged PKDC at least \$879,260 for not returning empty containers when no appointments were available. Grafton Decl. ¶ 16 [APP1164]. This amount brings the total of PKDC's damages claim to \$18,164,603.57. *Id.* ¶ 17 [APP1164].

SUMMARY OF ARGUMENT

The law is clear: common carriers like CMA must equitably prorate vessel space when demand exceeds supply. Demand exceeded supply during the COVID-19 pandemic, and particularly during the 2021 to 2022 service contract year. But CMA did not pro-rate its limited vessel space. It auctioned it off to the highest bidder. Just as in *Bed Bath & Beyond*, such conduct violates the Shipping Act and entitles PKDC to reparations.

First, CMA preferred higher-paying cargo through its LISA CAM system—which required CMA employees to label customers as “high-paying” or “low-paying” when allocating space—and its VIP ranking system which afforded limited containers to customers of strategic importance who generated more revenue for CMA on a first-come, first-served basis. Indeed, from the pandemic’s outset, CMA’s plan was to prioritize “good paying” accounts when space was “tight.” The effects of this plan are plainly visible from both internal spreadsheets kept by CMA and CMA’s financial statements. The spreadsheets detail who the high-paying, VIP winners were in terms of securing their MQC (and then some), and who the low-paying losers were. CMA’s financial statements show that its earnings more than quadrupled over the course of the contract year, all while moving *less* cargo. The preponderance of the evidence thus shows that CMA persistently preferred higher-paying cargo over honoring its service contract obligations to PKDC, violating the Shipping Act in the process.

Second, CMA coerced PSS and SPGO fees from PKDC. CMA made clear to PKDC that, without PSS, it would be unable to continue carrying PKDC’s cargo. And CMA, at least internally, admitted that PSS would be taken into account in deciding whose cargo gets to stay on a ship. Moreover, every time CMA offered additional vessel space to PKDC to make up for MQC shortfalls, it came with the message that SPGO would be required to get on the ship. Again, rather

than equitably prorate space and try in good faith to meet the MQC it agreed to, CMA offered space to the highest bidder. Indeed, CMA even offered to kick another customer off a vessel if PKDC would pay nearly double its contract rate. The preponderance of the evidence thus also shows that CMA's coercing these extra fees out of PKDC and systematically preferring higher-paying cargo violated the Shipping Act.

Moreover, the evidence shows that CMA unreasonably charged PKDC detention when there were no appointments available to return empty containers at UPRR Denver. It was CMA's responsibility, not PKDC's, to ensure appointments were available. PKDC's logistics provider repeatedly notified CMA of the lack of appointments and showed CMA screenshots proving the lack of appointments. But CMA refused to waive these detention charges. The preponderance of the evidence shows that detention was therefore charged in violation of 46 C.F.R. § 545.5(c), because containers could not be returned through no fault of PKDC.

Finally, the preponderance of the evidence shows that CMA's conduct proximately caused PKDC losses in the amount of \$18,164,603.57. PKDC spent \$13,064,402.34 over its contract rate with CMA to ship through NVOCCs the 1,243 FEUs that CMA failed to ship under PKDC's service contract with CMA. Additionally, PKDC paid another \$3,121,416.15 to NVOCCs to get its cargo from origin to destination—costs that PKDC would not have incurred had the containers been shipped under its service contract with CMA. Moreover, PKDC paid an additional \$1,099,525.08 to CMA in fees on top of the contract rate for the 757 FEUs that CMA *did* ship. And CMA assessed PKDC at least \$879,260 in unreasonable detention charges.

Because the evidence shows that CMA violated the Shipping Act multiple times over, the Presiding Officer should order reparations in the amount of at least \$18,164,603.57.

STANDARD OF REVIEW AND RELEVANT LAW

In a proceeding such as this one seeking to enforce the Shipping Act, PKDC need only prove its allegation by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021). PKDC may meet that standard through not only direct evidence, but also circumstantial evidence and reasonable inferences drawn from the evidence. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 1993 WL 13975538, at *13 (ALJ Dec. 9, 1993), *adopted in relevant part*, 1994 WL 279898 (FMC June 13, 1994).

To establish a violation of Section 41102(c), PKDC must prove by a preponderance that: (1) CMA is a common carrier; (2) the challenged practices occurred on a normal, customary, and continuous basis; (3) the practices relate to receiving, handling, storing, or delivering property; (4) the practices are unjust or unreasonable; and (5) the practices proximately caused PKDC's losses. 46 C.F.R. § 545.4. To establish violations of Sections 41104(a)(2) and (a)(10), PKDC must prove that CMA failed to provide service in accordance with the service contract and unreasonably refused to deal with respect to vessel space, respectively. All elements of all three violations are established by the evidence summarized below and in the Proposed Findings of Fact.

I. Count I: Violation of 46 U.S.C. § 41102(c) ("Unjust and Unreasonable Failure to Meet Service Commitments under the Service Contracts")

Common carriers like CMA "do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c)." *Demurrage and Detention Rule*, 85 Fed. Reg. 29,638, 29,648 (FMC May 18, 2020). Under section 41102(c), a carrier like CMA "may not fail to establish observe and enforce just and reasonable

practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Commission’s regulations provide that a claim under section 41102(c) has five elements: as relevant here, (a) the respondent must be a common carrier; (b) the “claimed acts or omissions of the” common carrier “are occurring on a normal, customary, and continuous basis”; (c) the “practice or regulation relates to or is connected with receiving, handling, storing, or delivering property”; (d) the “practice or regulation is unjust or unreasonable”; and (e) the “practice or regulation is the proximate cause of the claimed loss.” 46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS E. Coast*, Docket No. 23-04, 2023 WL 5375588, at *9 (ALJ Aug. 16, 2023). Failure to comply with § 41102(c) is contrary to law and may result in the imposition of monetary damages and penalties. *See* 46 U.S.C. §§ 41107, 41305. Detention practices, even those related to an inland railyard, are subject to the prohibitions of Section 41102(c). *TCW, Inc., v. Evergreen Shipping Agency (America) Corporation & Evergreen Line Joint Service Agreement*, 2021 WL 794708 (FMC 2021) (*TCW I*) (“Ocean carrier demurrage and detention practices are subject to section 41102(c) and Commission oversight, regardless of whether the practices related to conduct at ports or inland...”); *see also* 46 C.F.R. § 545.5(a).

II. Count II: Violations of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 Relating to Unjust and Unreasonable Detention Charges

In addition to violating Section 41102(c), CMA’s imposition of detention charges on containers that could not be returned also violates 46 C.F.R. § 545.5. Section 545.5 provides “guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention,” specifically what practices are unjust or unreasonable.

With respect to detention, “reasonable” means that practices must serve to financially incentivize the responsible party to return containers in a timely manner. The Commission has explained that “[i]n assessing the reasonableness of demurrage and detention practices and

regulations, the Commission will consider the extent to which demurrage and detention are serving their primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c)(1). “Absent extenuating circumstances, practices and regulations that provide for the imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.” 46 C.F.R. § 545.5(c)(2)(ii). “[N]o amount of detention can incentivize the return of a container when the terminal cannot accept the container.” *TCW, Inc., v. Evergreen Shipping Agency (America) Corporation & Evergreen Line Joint Service Agreement*, 2022 WL 18068977, at * 5 (FMC 2022) (*TCW II*) (citations omitted).

Additionally, “[t]he Commission may [also] consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.” 46 C.F.R. § 545.5(d).

III. Count III: Violation of 46 U.S.C. § 41104(a)(2) (“Filed Rate Doctrine”)

As noted by the Presiding Officer in its Order Partially Granting Partial Motion To Dismiss:

Pre-OSRA 2022, section 41104(a)(2), provided that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, may not-- . . . (2) provide service in the liner trade that is--(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title . . . “ 46 U.S.C. § 41104(a)(2) (effective Dec. 4, 2018 to June 15, 2022). OSRA 2022 changed “may not” to “shall not” but otherwise left section 41104(a)(2) unchanged. To prove a violation of section 41104(a)(2) then requires a complainant to establish that a common carrier failed to provide service in accordance with the classifications, rules, and practices contained in its published tariff or service contract.

Order Partially Granting Partial Motion to Dismiss, Dkt. No. 24-21, at pg. 6. The Hon. Presiding Officer correctly stated that, “[t]o prove a violation of section 41104(a)(2) then requires a complainant to establish that a common carrier failed to provide service in accordance with the classifications, rules, and practices contained in its published tariff or service contract.”²

The Shipping Act also provides that a common carrier “may not ... provide service in the liner trade that is ... not in accordance with the rates, charges, classifications, rules, and practices contained in ... a service contract entered into under Chapter 405 of [Title 46], unless excepted or exempted under section 40103 or 40501(a)(2) of [Title 46].” 46 U.S.C. § 41104(a)(2). This is also called the “filed rate doctrine.” The doctrine requires that “the agreed to rate (whether filed in tariffs or negotiated in a service contract or NRA) must be charged—not more and not less. However, that filed or negotiated rate may not be enforceable if it violates the Shipping Act, for example, if it is an unreasonable practice under section 41102(c).” *Bakerly, LLC v. Seafrigo USA, Inc.*, 2024 WL 95381, at *34 (ALJ Jan. 3, 2024), *aff’d*, 2024 WL 4678461 (FMC Oct. 30, 2024); *Santa Fe Discount Cruise Parking, Inc. v. Bd. of Trs. of the Galveston Wharves*, Docket No. 14-06, 2021 WL 1575018, at *17 n.15 (FMC April 16, 2021) (explaining that the Shipping Act requires common carriers to abide by the terms of their service contracts).

IV. Count IV: Violation of 46 U.S.C. § 41104(a)(10) (“Unreasonable Refusals to Deal or Negotiate”)

46 U.S.C. § 41104(a)(10) provides that, “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not ... unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier”.

² The Presiding Officer also observed that Complainant incorrectly referred to the standard for a 41102(c) violation instead of the standard for a section 41104(a)(2) violation. Complainant stands corrected.

46 U.S.C. § 41104(a)(10). “To establish a violation of section 41104(a)(10), the complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable.” *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, 2023 WL 3969857, at *22 (ALJ June 7, 2023). The Commission’s regulations, 46 C.F.R. § 542.1, provide useful examples of conduct that would be unreasonable when linked to a refusal to deal or negotiate: “(1) Quoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations; or (2) The de facto, absolute, or systematic exclusion of exports in providing vessel space accommodations.” 46 C.F.R. § 542.1. Evidence demonstrating a respondent knew it was failing to meet contractual commitments to a customer and in that context “refus[ed] to renew or expand” the respondent’s relationship with the customer supports a finding of unreasonableness under Section 41104(a)(10). *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, 2024 WL 4034610, at *12 (FMC Aug. 27, 2024). “The Commission has found that a common carrier should ‘refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.’ *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002), *aff’d sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003).” *OJ Commerce, LLC*, 2023 WL 3969857, at *22.

Finally, during the 2021 to 2022 service contract year, the Shipping Act also provided that a common carrier “shall not ... unreasonably refuse to deal or negotiate” with a shipper. 46 U.S.C. § 41104(a)(10). The Ocean Shipping Reform Act of 2022 (OSRA 2022) amended this section to clarify that an unreasonable refusal to deal or negotiate includes an unreasonable refusal to deal or negotiate “with respect to vessel space accommodations provided by an ocean common carrier.”

The Commission’s implementing regulation in turn explains that “[u]nreasonable means ocean common carrier conduct that unduly restricts the ability of shippers to meaningfully access ocean carriage services from that ocean common carrier.” 46 C.F.R. § 542.1(b). This would include “[v]essel capacity limitations not justified by legitimate transportation factors,” *id.* § 542.1(e)(2), such as “vessel safety and stability” or “weather-related scheduling considerations,” but not a desire to obtain unreasonably high rates, *id.* § 542.1(b), (h)(1).

ARGUMENT

I. CMA Violated Section 41102(c) (Unreasonable Practices) by Systematically Preferring Higher-Paying Cargo by Ignoring its Service Contract Obligations and Using its LISA CAM System and VIP Rankings to Give Space to the Highest Bidders

CMA denied PKDC space in its quest for more profit from higher-paying customers. The preponderance of the evidence shows that CMA had no intention of honoring the MQC it agreed to in PKDC’s service contract. The preponderance of the evidence also shows that CMA’s space allocation system, LISA CAM, took into consideration a customer’s internal ranking as “high-paying” or “low-paying,” instead of legitimate factors like MQC or how behind CMA was on a customer’s MQC. And the preponderance of the evidence likewise shows that whether through LISA CAM or through allocations made over email, limited vessel space was again allocated to higher-paying customers and VIPs and denied to non-VIPs like PKDC rather than pro-rated among all customers. These persistent space-allocation practices throughout the 2021 to 2022 service contract year were unreasonable and therefore violate the Shipping Act. *See Bed Bath & Beyond*, at 126-39, 155-61.

CMA entered the 2021 to 2022 service contract year knowing that the pandemic had been causing port congestion, equipment shortages, and limited vessel space, but did nothing to change how it was calculating its anticipated volume. It then allocated all or nearly all of that anticipated

space to service contracts. That is, CMA knew (or at the very least was deliberately indifferent to the fact) that calculating its volume by multiplying sailings, TEUs, and weeks was going to result in a shortage of space. And it did: CMA estimated that it moved about “15 to 20 percent less TEUs than it had estimated” it could move during the 2021 to 2022 contract year. Eouzan Dep. at 139:6-11 [APP1087].

Something had to give—and that “something” was service contracts, as the negotiations leading to the 2020 to 2021 service contract show. CMA had no intention of honoring any service contract with a 4,000-TEU MQC with PKDC, including the 2021 to 2022 service contract at issue in this case. CMA’s position, since 2020, was that it needed “to maintain 2800 [TEUs]” with PKDC. CMA001778 [APP0357]. But instead of refusing to agree to more TEUs, or taking into account pandemic-related issues, CMA agreed to a 4,000-TEU MQC with PKDC only because the drawdown amendment in the contract’s boilerplate meant that PKDC could not seek liquidated damages if CMA was “not able to meet the 4000T before the end of the contract period.” CMA001777 [APP0356]. “There is nothing in the [boilerplate] that allows the customer to come after CMA if we do not meet the 4000”-TEU MQC. CMA061497 [APP0361]. In other words, the MQC agreed to by the parties was meaningless, in CMA’s view, and could thus be ignored in determining whether to provide PKDC with the space allocation that its MQC required.

Then there was LISA CAM. As detailed above, the LISA CAM system required CMA employees to input a customer’s ranking—“elite,” “high-paying,” or “low-paying”—when allocating space. And operational planning views displayed to CMA employees how much shippers were paying for their cargo when allocating space. But LISA CAM did not ask whether a particular customer had been denied their MQC in prior weeks or otherwise ensure that customers were receiving an equitable amount of their MQC in relation to other customers. In other words,

LISA CAM “was not implemented to ensure sufficient space allocations or the efficient flow of cargo. Rather, the system was used to maximize profits.” *Bed Bath & Beyond*, at 127.

The same was true of the VIP ranking system. CMA used its VIP rankings to prioritize limited supplies of containers on a first-come, first-served basis for higher-paying customers who brought in more revenue for CMA, which in turn meant that those customers would receive space on vessels over lower-paying, non-VIP shippers like PKDC. Indeed, internal CMA emails reveal that space on particular vessels would not be given to any shipper below a certain VIP ranking. After all, the whole point of CMA’s strategy, since the pandemic’s start, was to “allow [CMA] to identify the good paying accounts and to prioritize this within [its] free hand when space is tight.” CMA114490 [APP0375]. And VIP shippers would get more than their MQC, even though PKDC had no issue meeting its MQC—it ended up shipping more than it anticipated by the end of the contract year—yet was receiving less than half of its contractually mandated allocation.

The internal spreadsheets show it all: CMA picked winners (high-payers and VIPs) and losers (low-payers like PKDC), rather than prorate space equitably. NVOs paying floating rates and VIPs made their MQC and then some. [REDACTED] and [REDACTED] for example, received most or more than all of their MQC during the 2021 to 2022 contract year. The same was true for other VIPs. And NVOs paying sky-high floating rates, like [REDACTED] and [REDACTED] each exceeded their MQC many times over—from three times over, to three-hundred times over. It simply cannot be true that CMA prorated its space equitably when (1) PKDC received less than half of its MQC; (2) higher-paying, VIP customers received above their MQC; and (3) CMA’s EBITDA skyrocketed while carrying less cargo volume from the second half of 2021 through 2022. CMA146967 [Native]; CMA146990 [Native]; CMA 2021

Consolidated Financial Statements at 19 [APP0035]; CMA 2022 Annual Financial Results Press Release at 7 [APP0009].

Nor does the evidence show that CMA's failure to provide PKDC with its MQC was somehow PKDC's fault. As noted, PKDC had no problem meeting its volume, as it ended up shipping more TEUs than it anticipated by the end of the 2022 contract year. Nor is PKDC "required to identify specific containers that it tried and was unable to ship with" CMA. *Bed Bath & Beyond*, at 137; see *MCS Industries, Inc. v. MSC Mediterranean Shipping Co. SA*, Docket No. 21-05, 2024 WL 3514613, at *8 (FMC July 16, 2024), *aff'd sub nom. MSC Mediterranean Shipping Co. S.A. v. FMC*, 141 F.4th 222 (D.C. Cir. 2025). And the documents reveal that CMA knew that it was CMA's fault that PKDC's MQC was not provided. For instance, CMA acknowledged toward the end of the service contract that it had "been a challenging year for CMA from a performance perspective, currently only performing at 34% of the MQC signed," CMA077062 [APP0354]—not for PKDC. By the end of the service contract year, CMA admitted that it had "overcommit[ed]" and "under deliver[ed]." CMA137966 [APP0352]. And CMA internally attributed this to the simple fact that "[d]uring [the] pandemic," "PKDC was not a VIP customer," CMA139634, at tab Split lifting [Native]—not that PKDC somehow failed in some respect to meet its MQC. In short, CMA admitted, at least internally, that PKDC did not receive its contractually mandated MQC simply because CMA did not perform for PKDC, a non-VIP customer.

CMA's violation of the Shipping Act here is simpler—yet as bold as that found in the *Bed Bath & Beyond* case. There, OOCL maintained an allocation system called "CSAL" that refused to accept bookings more than weekly MQC allocations, did not consistently track attempted bookings, and "was not designed to meet contractual commitments." *Id.* at 127-34. "[R]ather than

being designed to ensure that all BOCs received the amount of space to which they were entitled, it was designed to maximize OOCL's profits." *Id.* at 134. OOCL's "data showed significant and persistent MQC underperformance caused by OOCL," *id.* at 135, and OOCL's solution was simply to force a "drawdown amendment" lowering the MQC to the TEUs actually shipped, *id.* at 138. After reviewing all the evidence, the Presiding Officer concluded that OOCL failed to "make a good faith effort to make available" the "space which it had promised in the parties' service contracts" and that the "CSAL and internal systems developed and used by OOCL ... did not reasonably allow" the complainant "to use the space for which it had contracted." *Id.* at 138.

Here, LISA CAM, the VIP ranking system, and CMA's callous treatment of service contract holders and their contractual MQC as optional all demonstrate that CMA's internal systems were designed to maximize profit and ignore contractual commitments. CMA explicitly ranked its customers according to how much revenue they brought in, required that information to be included and visible when allocating space on vessels, and prioritized equipment and limited vessel space on a first-come, first-served basis for higher-ranked customers. *See Patrick Lumber Co. v. Calmar S.S. Corp.*, 2 U.S.M.C. 494, 499 (United States Maritime Commission Feb. 4, 1941) ("Nor is the common law principle of 'first-come first-served' fair because it disregards the rights of the shipping public as a whole and tends to foster monopoly in favor of the large shipper."). CMA in fact encouraged prioritizing "good paying" customers when space was "tight" from the very beginning of the pandemic. The data thus shows significant MQC underperformance for not just PKDC, but also other low-paying, non-VIP BCOs; and significant MQC overperformance for VIPs and high-paying customers like NVOCCs paying floating rates. CMA's violation of the Shipping Act is thus much more brazen than OOCL's: CMA's entire philosophy, from the start, was to ignore MQC and preference lucrative cargo. PKDC submits that this is not a contest—and CMA's

extreme bold and callous disregard of CMA's service contract commitments to PKDC proximately caused PKDC millions of dollars-worth of damages. The evidence shows that CMA's "plan to cope with the pandemic's period of congestion was to focus primarily on profits, without sufficient consideration of contractual commitments," CMA "had unjust or unreasonable practices" in violation of the Shipping Act. *Bed Bath & Beyond*, at 145.

II. CMA Violated Section 41102(c) and 46 C.F.R. § 545.5 by Charging PKDC Detention on Containers That Could Not be Returned

As stated above, CMA also violated 46 U.S.C. § 41102(c) as interpreted by 46 C.F.R. § 545.5, which prohibits common carriers from "fail[ing] to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property" in the context of detention charges. The Commission's Demurrage and Detention Rule interprets section 41102(c) and provides "guidance as to what [the Commission] may consider in assessing whether a demurrage or detention practice is unjust or unreasonable." Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29,638 (FMC May 18, 2020). The Rule provides that, "[i]n assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity." 46 C.F.R. § 545.5(c)(1). But demurrage and detention do not promote freight fluidity when containers cannot be moved through no fault of the shipper. For example, "[a]bsent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable." *Id.* § 545.5(c)(2)(ii).

As also referenced above, in adjudicating challenges to detention practices, "[t]he Commission may [also] consider in the reasonableness analysis the existence, accessibility,

content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.” 46 C.F.R. § 545.5(d).

Here, PKDC has demonstrated each of the elements of CMA’s violation of Section 41102(c): CMA is an ocean common carrier; CMA’s practices were continuous and customary, in assessing detention, despite a lack of appointments or unreasonable dual move requirement, covering several months and hundreds of containers; the assessment of detention is connected to the receiving, handling, storing, or delivering property; and CMA’s assessment of detention charges was unreasonable as a matter of law because it failed to incentivize freight fluidity. *See* 46 C.F.R. § 545.5. Throughout the summer and fall of 2022, PKDC’s logistics provider, TSL, routinely requested appointments at UPRR Denver to return empty CMA containers. But CMA failed to reserve sufficient space at UPRR Denver. Return appointments were thus continuously unavailable. TSL repeatedly raised this lack of appointments with CMA by email, and even took screenshots of unavailable appointments and sent them to CMA. But, despite being notified repeatedly of the lack of available appointments at UPRR Denver, CMA nevertheless refused to waive or mitigate over one million dollars-worth of detention charges. Because “there is evidence that sufficient appointments were not available” throughout this period, the detention charges are unreasonable. *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(c)*, Docket No. 21-09, 2022 WL 1239377, at *2, *30 (ALJ Apr. 22, 2022). Indeed, as the FMC has already explained, “no amount of detention can incentivize the return of a container when the terminal cannot accept the container.” *TCW II*, 2022 WL 18068977, at * 5. As such, the

preponderance of the evidence shows that CMA violated the Shipping Act and 46 C.F.R. § 545.5 by unreasonably charging PKDC detention on containers that could not be returned.

III. CMA Violated Section 41104(a)(10) (Refusal to Deal) by Unreasonably Preferring Higher-Paying Cargo and Coercing Excessive Fees from PKDC, Instead of Pro-Rating Limited Space

To establish a violation of section 41104(a)(10), the Complainant must establish that (a) Respondent is a common carrier; (b) Respondent refused to deal or negotiate with respect to vessel space accommodations; and (c) such refusal was unreasonable, not justified by legitimate transportation factors. Each element is met here. To start, CMA is undisputedly a common carrier.

As to the remaining elements, the preponderance of the evidence shows that when vessel space became limited during the COVID-19 pandemic, and particularly during the 2021 to 2022 contract year, CMA did not prorate that limited space equally among its customers. Instead, CMA provided that limited space to “VIP” and high-paying shippers over low-paying shippers like PKDC, and coerced PKDC into accepting excessive fees, like PSS and SPGO, to carry less than half the cargo that CMA had already agreed to carry at lower rates. These persistent practices were unreasonable under longstanding precedent and violated section 41104(a)(10). Under FMC governing regulations, “[u]nreasonable means ocean common carrier conduct that unduly restricts the ability of shippers to meaningfully access ocean carriage services.” 46 C.F.R. § 542.1(b). CMA’s repeated cancellation of accepted bookings within PKDC’s weekly contractual allocations, its refusal to accept bookings for PKDC that were instead accepted through NVOs on the same vessels, CMA137742 [APP0526]; CMA004590 [APP0528]; CMA003230 [APP0556]; PKDC’s Response to CMA’s First Interrogatories at 9 & Ex. D [APP1139, APP1148-APP1159]; Grafton Decl. ¶ 9 [APP1162], and its internal policy of reserving vessels for customers ranked VIP3 and above while denying space to non-VIPs like PKDC, CMA003170 [APP0420], each independently

constitute an unreasonable refusal to deal with respect to vessel space. The pattern—repeated across port pairs including Vietnam, Shanghai, Xingang, Malaysia, Indonesia, and Ningbo, CMA133808 [APP0659]—satisfies the “unduly restricts” standard.

The Commission’s regulation identifies legitimate transportation factors including vessel safety, stability, and weather-related scheduling. 46 C.F.R. § 542.1(b), (h)(1). None of those factors are implicated here. CMA’s internal communications make clear that the operative factor was revenue: space was denied to PKDC as a low-paying BCO, CMA035262 [APP0397], and reserved for VIPs and higher-paying NVOs, CMA003170 [APP0420]; CMA114490 [APP0375]. The desire to extract higher rates is not a legitimate transportation factor. 46 C.F.R. § 542.1(b). Moreover, as noted in the proposed findings of fact, the same vessels from which CMA denied PKDC space nonetheless accepted PKDC's cargo when booked through NVOs at higher rates. PKDC’s Response to CMA's First Interrogatories at 9 & Ex. D [APP1139, APP1148-APP1159]; CMA033027 [APP0668]; Grafton Decl. ¶ 9 [APP1162]. This conclusively establishes that capacity, not a legitimate operational constraint, was not the reason for the refusal.

It should be noted that the OSRA 2022 amendment to Section 41104(a)(10) explicitly includes vessel space accommodations within the scope of the provision. This confirms congressional intent to reach exactly this conduct, even though the amendment post-dates the contract year. The pre-amendment text is sufficient under the Commission's interpretation, and OSRA 2022's amendment is legislative confirmation rather than a substantive change in scope. *See* 46 C.F.R. § 542.1(b) (implementing regulation predating OSRA 2022).

“Where demand for space exceeds the supply, the law is clear: a common carrier must equitably prorate its available space among shippers.” *Banana Distributors, Inc. v. Grace Line*, 5 F.M.B. 615, 620 (1959), *aff’d sub nom. Grace Line Inc. v. Federal Maritime Board*, 280 F.2d 790

(2d Cir. 1960); *see* Fact Finding Investigation No. 23, 1998 WL 940278, at *1 (FMC Sept. 21, 1998) (“While that decision was rendered under the Shipping Act, 1916, nothing contained in the 1984 Act, or in subsequent case law, would appear to alter this obligation of common carriers subject to regulation by the Commission to ‘equitably prorate’ available space.”). “If carriers offer service contracts, they should have reasonably available adequate space to meet the needs of all shippers similarly situated who attempt to access the contract. If a carrier is booked 100 percent with contract cargo, barring other reasonable accommodations, it may have to charter other space or pro-rate its capacity among all its service contract shippers.” *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 1990 WL 427466, at *32 (FMC Oct. 19, 1990). In short, a shipper “may not be denied space at the pleasure, and for the profit, of the carrier.” *Grace Line Inc.*, 280 F.2d at 793.

IV. CMA Violated Section 41104(a)(2) (Filed Rate Doctrine) Because it Coerced PSS and SPGO Fees Out of PKDC to Carry Less Cargo at Higher Rates—Even Offering to Kick Lower-Paying Shippers Off a Vessel if PKDC Paid More

The preponderance of the evidence also shows that CMA coerced extra fees out of PKDC—PSS and SPGO, in particular—to obtain limited space. CMA used these fee programs during the 2021 to 2022 contract year to again prefer higher-priced cargo, making the payment of these fees all but necessary to obtain space on a CMA vessel. Indeed, CMA’s “space allocation decisions were heavily influenced by PSS and premium pricing.” *Bed Bath & Beyond*, at 143.

CMA first coerced PSS out of PKDC, giving it no choice but to agree to the extra fees for CMA to move its cargo. The email in which CMA explained PSS was required was not a negotiation—it stated that CMA *was moving forward with* PSS, and that, “[w]ithout PSS acceptance, it will be difficult for [CMA] to continue to consistently move volume for PKDC.” CMA140844 (emphasis added) [APP0689]. That message was clear to PKDC: accept PSS, or lose

your MQC. And PSS was, in fact, a requirement for PKDC to get its cargo on a CMA vessel. PSS was “for sure taken into account when doing cuts,” *i.e.*, when deciding which cargo would be allocated limited space on a vessel. CMA145170 [APP0514].

CMA then coerced SPGO fees out of PKDC. CMA repeatedly required PKDC to pay SPGO to get its cargo on vessels, even though CMA was not providing the weekly MQC that it had agreed to provide PKDC. Time and again, CMA explained that the rates for carrying PKDC’s cargo would be the contract rate with SPGO; that SPGO was “required”; that “[a]ll cargo must have SPGO.” PKDC thus had no choice but to pay SPGO because, without it, CMA made clear that it would not ship PKDC’s cargo.

And CMA also coerced unofficial fees from customers, demonstrating that vessel space would go to the highest bidder. When PKDC asked CMA if it could ship 38 containers, the response was that CMA could accept them, “but we would need to remove somebody else in order to make this happen. The cost per container to do this would be \$14,000.” But PKDC’s contract rate was about half that. And on another occasion, CMA accepted PKDC’s containers, but only if PKDC agreed to a \$6,000 upcharge per container.

Again, this case is no different from *Bed Bath & Beyond*. There, “[c]ontemporaneous emails support[ed] that OOCL’s space allocation decisions were heavily influenced by PSS and premium pricing.” *Id.* at 143. And the evidence showed that OOCL had coerced the complainant into paying PSS because “agreeing to surcharges was necessary to obtain space on OOCL vessels[.]” *Id.* at 144 (“There wasn’t much negotiation. Let’s put it that way. It was more one way. And then it was like, if you want to get space on the vessel, you’re going to have to do this, and we said all right.”). The evidence here is virtually identical. CMA told PKDC it was moving forward with PSS, and that “[w]ithout PSS acceptance, it will be difficult for us to continue to

consistently move volume for PKDC.” CMA140844. Internal emails show that CMA would “for sure” take PSS “into account when doing cuts” from vessels. CMA145170 [APP0514]. And CMA repeatedly told PKDC that SPGO was required when trying to make up for weekly MQC shortfalls: “We have some additional space We can give you 20 FEU on this sailing if you are interested. SeaPriority GO is required for this,” CMA140762 [APP0691]; “As discussed, we have an XL out of Yantian that we have some extra space on[.] All cargo must have SPGO,” CMA133427 [APP0694].

Put simply, the evidence shows that whoever paid the most—whether that was through the VIP program, PSS, SPGO, or under-the-table deals—got space on CMA’s vessels. By contrast, there is no evidence to suggest that “MQC performance, *i.e.* a customer being behind on their annualized MQC,” was “utilized by [CMA] to determine to whom it would offer extra loader space.” *Bed Bath & Beyond*, at 143. Here, the evidence suggests that CMA required PKDC to pay PSS and SPGO simply to ship less cargo than was required under the service contract. CMA’s persistent practice of preferring “higher-priced freight at the expense of its service commitments, unreasonabl[y] coerc[ing] overcharges, and unreasonably shift[ing] space to higher-priced cargo” thus violated the Shipping Act. *Bed Bath & Beyond*, at 145.

V. The Presiding Officer Should Award PKDC Reparations

The “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Shipping Act. 46 U.S.C. § 41305(b). “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (quoting *Cal. Shipping Line*, 1990 WL 427466, at *23). “As the Commission has explained: ‘(a)

damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *Id.* (citations omitted).

This “does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *Id.* As such, with respect to the reparations that PKDC seeks other than detention charges, “[f]or shipments that [CMA] transported, [PKDC] should be able to point to the specific shipment and excess costs associated with it. However, for containers that [CMA] did not transport,” PKDC need not “prove that the alleged freight charges incurred pertain to a particular ocean carrier[.]” *Bed Bath & Beyond*, at 184. “From a liability perspective, the question is whether a respondent failed to carry containers in violation of the Shipping Act. If so, at the reparations stage, the question is what reparations amount would provide compensation with a reasonable degree of certainty. Thus, when a carrier unlawfully fails to ship containers, it has given up responsibility for and control over the costs associated with shipping that container.” *Id.* at 184-85.

Here, PKDC’s reparations are simple. They are summarized in the following table:

Category of Reparations	Applicable Counts	Amount
Additional ocean freight costs for shipping MQC shortfall with NVOCCs	Counts I and III	\$13,064,402.34
Additional inland freight fees to ship MQC shortfall from port to destination with NVOCCs	Counts I and III	\$3,121,416.15
Fees CMA coerced from PKDC above the agreed to contract rate	Counts III and IV	\$1,099,525.08
Detention charged on containers that could not be returned at UPRR Denver	Count II	\$879,260.00

Double reparations for violations of 46 U.S.C. § 41102(c)	Count I	\$16,139,712.15
Total:		\$34,350,422.06

Start with the first two categories. PKDC was ready, willing, and able to ship its 4,000-TEU MQC—after all, it ended up exceeding its volume projections for the 2021 to 2022 contract year—but CMA only carried 1,514 TEUs. That means CMA failed to carry 2,486 TEUs (or 1,243 FEUs). Because CMA did not carry those 1,243 FEUs, PKDC had to resort to NVOCCs, who charged higher ocean freight rates as well as inland freight and cross-docking fees. These increased costs can be determined with a reasonable degree of certainty from the NVOCCs’ invoices and from CMA’s invoices. PKDC paid \$3,121,416.15 to NVOCCs, during the service contract and along the same routes as the contract covered, to cover inland freight and cross-docking fees to move less than 1,243 FEUs from the ports of unloading to their inland destinations. Furthermore, PKDC had to pay, on average, an additional \$10,510.38 per FEU just to cover the increased freight rates to ship cargo with NVOCCs during the service contract and along the same routes as the service contract, resulting in a reasonably certain estimate of \$13,064,402.34 in additional freight charges.³ In total, that amounts to \$16,185,818.49 in additional money paid over the contract rate for the 1,243 FEUs that CMA failed to carry in accordance with the service

³ And this is the *lesser* of two reasonably certain calculations that PKDC could have used. PKDC shipped 1,228 FEUs on *CMA vessels* with NVOCCs during the contract year and along the same routes as covered by the service contract at an average ocean freight rate of \$17,614.17 per FEU. Grafton Decl. ¶ 9 [APP1162]. That PKDC is using the lower average ocean freight rate associated with NVOCCs generally, and not the higher rate associated with NVOCCs on CMA vessels, further demonstrates the reasonableness of PKDC’s claimed reparations.

contract. *See* Grafton Decl. ¶¶ 6-14 & Exs. B-D [APP1161-APP1163; Native]. And again, the test is not one of perfect precision, but rather reasonable certainty. *Bed Bath & Beyond*, at 184-85.

Furthermore, for the 1,514 TEUs that CMA *did* carry, CMA overcharged PKDC. And here, PKDC is “able to point to the specific shipment and excess costs associated with it.” *Id.* at 184. The invoices show that \$1,099,525.08 in coerced fees—including PSS and SPGO—were assessed. Those coerced fees were paid on top of the contract rates that the parties had agreed to at the start of the service contract, and must also be refunded to PKDC as reparations. That brings the total to \$16,139,712.15.⁴ Grafton Decl. ¶¶ 4, 5, 17 & Ex. A [APP1161, APP1164; Native]. This total may be doubled under 46 U.S.C. § 41305(c) as it is a result of violations of 46 U.S.C. § 41102(c).⁵

And finally, the detention invoices show that CMA charged PKDC a total of at least \$879,260 for not returning empty containers when there were no appointments available. Adding that amount to the other reparations brings the total amount to \$18,164,603.57.

* * *

⁴ Because the service contract began on March 19, 2021, and ended on April 30, 2022, the date of injury for purposes of interest should be October 8, 2021, which is the midpoint between those dates. *See Bed Bath & Beyond*, at 197.

⁵ Complainant concedes that there is a presumption against statutory retroactivity, that retroactive application of new damages provisions is typically impermissible, *see Landgraf v. USI Film Prods.*, 511 U.S. 244 (1994), and that OSRA 2022, which amended 46 U.S.C. § 41305(c) to include violations of 46 U.S.C. § 41102(c), postdates the 2021-2022 contract year. However, current Section 41305(c), as amended by OSRA 2022, should be applied to this case. OSRA 2022’s amendments to the Shipping Act did not create an entirely “new right to monetary relief” or a “novel prospect of damages liability,” *Landgraf*, 511 U.S. at 284, but rather extended the double-reparations remedy to conduct that already entitled complainants to reparations to ensure complete relief and sufficient incentive for complainants to pursue actions against respondents, *see* Fact Finding Inv. No. 29, Interim Recommendations, 2021 WL 3367606, at *2 (Jan. 1, 2021).

CONCLUSION

PKDC respectfully submits that the preponderance of the evidence shows that CMA violated the Shipping Act by systematically preferring higher-paying cargo over honoring its service-contract commitments to non-VIP customers like PKDC; repeatedly coercing extra fees like PSS and SPGO out of PKDC to carry less cargo than was required under the service contract at higher rates; consistently charging detention on containers that could not be returned. For the foregoing reasons, PKDC respectfully requests that the Presiding Officer in this case:

1. Find in favor of PKDC on its claims under 46 U.S.C. §§ 41102(c), 41104(a)(2), 41104(a)(10); and 46 C.F.R. § 545.5;
2. Award PKDC reparations for its actual injuries in the amount of \$18,164,603.57, as detailed, herein pursuant to 46 U.S.C. § 41305, plus interest at commercial rates compounded from October 8, 2021 pursuant to 46 U.S.C. § 41305(a);
3. Award PKDC double reparations for its actual injuries sustained as a result of violations of 46 U.S.C. § 41102(c) in the amount of \$16,185,818.49, plus interest at commercial rates compounded from October 8, 2021 pursuant to 46 U.S.C. § 41305(a);
4. Award PKDC its reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. § 41305(e); and
5. Grant PKDC such further relief that the Presiding Officer deems just and proper.

Respectfully submitted,

/s/ Luke Mathers

Luke Mathers

SANDLER, TRAVIS & ROSENBERG, P.A.

286 Madison Avenue, Suite 1200

New York, New York 10017

Telephone: (212) 549-0160

lmathers@strtrade.com

Dated: May 26, 2026

/s/ Henry P. Gonzalez

Henry P. Gonzalez, LL.M.

GONZALEZ DEL VALLE LAW

1250 Connecticut Ave., N.W., Suite 700

Washington, D.C. 20036

Tel: 202-973-2980

gonzalez@gdvlegal.com

Attorneys for PKDC, LLC

CERTIFICATE OF SERVICE

I certify that on June 10, 2026, the foregoing submission was served by electronic mail on all counsel of record, in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020, as follows:

Attorneys for Respondent:

Cozen O'Connor
1200 19th Street NW
Washington, DC 20036

Wayne Rohde
wrohde@cozen.com

Kathryn Sobotta
ksobotta@cozen.com

/s/ Luke Mathers
LUKE MATHERS